The Turn-of-the-Month Effect in the US Stock Index, 2016–2026

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the mean daily S&P 500 return on turn-of-month sessions equals that of other sessions; H_1: it is larger
Data: 2,491 sessions, 2016-11-01 to 2026-09-30; 476 turn-of-month sessions (19.1% of days)
Method: Last session of the month plus the first three of the next; 10,000-draw placebo over other sessions
Results: Mean 0.069% versus placebo 0.055% (one-sided $p = 0.3904$); the window carries 23% of the cumulative log-return sum.
Research decision: **REJECTED**

1 Design

The window is the classic one of Lakonishok and Smidt [1988], fixed in advance. The first and last month of the data are dropped because their edges are incomplete. The placebo draws the same number of sessions from outside the window, which keeps the volatility regime matched on average.

2 Results

Table 1: Mean daily S&P 500 return by year

Year	Turn-of-month	Other sessions
2016	-0.279%	0.220%
2017	0.087%	0.068%
2018	-0.023%	-0.019%
2019	0.068%	0.112%
2020	0.321%	0.028%
2021	0.036%	0.113%
2022	-0.049%	-0.081%
2023	0.137%	0.079%
2024	-0.098%	0.130%
2025	0.032%	0.076%
2026	0.299%	0.007%

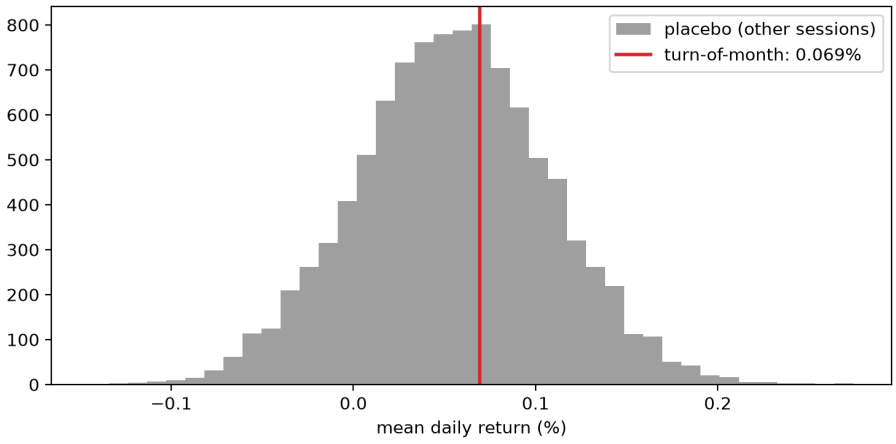


Figure 1: Turn-of-month mean return against the placebo distribution.

3 Limitations

A calendar effect documented in the literature may be arbitraged away; ten years contain about 120 windows. Placebo draws ignore serial dependence, which is small for daily index returns.

References

Josef Lakonishok and Seymour Smidt. Are seasonal anomalies real? a ninety-year perspective. *Review of Financial Studies*, 1(4):403–425, 1988.